



DISSERTATION TOPIC

**THE USE OF INTELLECTUAL PROPERTY AS
COLLATERAL IN KENYA: LEGAL AND PRACTICAL
CHALLENGES**

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DECLARATIONS

Candidate's declaration

This dissertation is my original work and has not been presented for any degree or for any purpose to any other institution other than Kenyatta University for academic credit.

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Date

15/06/2026

DEDICATION

I dedicate this paper to the Almighty God, to Kenyatta University School of law, to my parents and to the whole family of Kenyatta University School of Law.

LIST OF STATUTES

Constitution of Kenya 2010,

Industrial Property Act 2001

Trade Marks Act (Cap 506)

Copyright Act 2001

Movable Property Security Rights Act 2017

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Abstract

In Kenya, collaterals for intellectual property (IP) which has been identified as an economic asset have yet to be fully realised. The current institutional structure of IP-backed finance is provided by the Constitution and legislation including the Industrial Property Act, the Trade Marks Act, the Copyright Act and the Movable Property Security Rights Act 2017 (MPSRA), but the implementation of these laws is hampered by a lag in their development and lack of significant judicial guidance. Impacts the lending confidence of lenders, and availability of credit for innovators and small and medium enterprises (SMEs).

This dissertation critically discusses the legal and institutional framework of the use of IP as collateral in Kenya. It is doctrinal in nature and analyses and contrasts constitutional provisions, constitutional regimes and institutional mechanisms and takes lessons from the jurisdiction of the United States, India and South Africa. The study adopts the property rights theory, law and economics theory and theory of functional secured transactions to examine the extent to which the framework of the secured transactions in Kenya is adequate, coherent and effective.

The results of the research indicate that the Kenyan legal framework generally is strong in IP securitization, but there are concerns that need to be addressed including the integration of the IP registry, enforcement and valuation of IP. The dissertation proposes various alternative options of legal harmonization, integration of IP and collateral registry, establishing clear enforcement procedures and promoting awareness of the IP markets. Addressing these challenges could unlock Kenya's intangible assets' financial value, enhance credit availability and boost its innovative economy.

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Chapter one

1.0 Introduction

In contemporary economies, intellectual property (IP) has evolved from a purely protective legal concept into a commercially significant asset class. Today, patents, trademarks and copyrights are a huge asset of a corporation, particularly in the innovation and technology industry. The World Intellectual Property Organization (WIPO) is reporting that the importance of intangibles is increasing in the enterprise valuation process and that IP is increasingly being used for defense and as a potential means of financial capital, securitization and collateralization in a knowledge-based economy.¹

In Kenya the recognition of IP as a property has been enshrined in the Constitution. Article 40² gives the right to hold and take on property of all kinds, including IP rights. This constitutional right is implemented by legislation, such as the Industrial Property Act,³ the Trade Marks Act⁴ and the Copyright Act,⁵ all of which provide creators and innovators with exclusive rights in property of all kinds. These laws create the doctrine of intellectual property as something that can be transferred, licensed and enforced even as property, and provide the doctrinal groundwork for its potential use as collateral.

However, because of the enactment of the MPSRA, which extends the definition of property to include movable and intangible property and the centralised collateral registry which provides certainty and transparency in secured transactions.⁶

However, the use of IP as collaterals is still low in Kenya. Although IP is legally recognised as property, the process of placing IP into a secured transactions regime in Kenya is very fragmented and uncertain as Syengo states in his reflections on IP securitisation in Kenya. Questions of perfection, of priority, of enforcement of security interests are also outstanding, for instance because the collateral registry does not exist under the MPSRA, and because there is still little judicial precedent and risk aversion on the part of the lenders to rely on IP as collateral.⁷

¹ World Intellectual Property Organization, *World Intellectual Property Report 2017: Intangible Capital in Global Value Chains* (WIPO 2017).

² Constitution of Kenya 2010 art 40

³ Industrial Property Act 2001.

⁴ Trade Marks Act (Cap 506).

⁵ Copyright Act 2001.

⁶ Movable Property Security Rights Act 2017

⁷ Syengo 2021 at page 39_

The dissertation therefore critically looks at the legal and institutional structure of IP as collateral in Kenya. It raises issues as to whether the status quo is suitable when it comes to secured lending with regard to IP, or whether there is a lack of certainty or commercial confidence due to structural inconsistencies. The doctrinal and comparative approach emphasizes the interactions between the IP statutes and law of secured transactions, as well as highlights problems for harmonizing, clarifying and institutionalizing the law on the legal and practical level.

Finally, this research puts intellectual property in the context of access to finance, reform of secured credit and economic development. The study has helped the discussion on the role of IP as a financial tool as an asset in an innovation economy in Kenya from being a mere legal protection instrument to the potential asset.

1.1 Background Study

Intellectual property (IP) is a fundamental aspect of contemporary economies, its importance has dramatically shifted the perception of the nature of property and secured credit. Traditionally the business lending model has been based on the real world goods, like land, machinery and inventory.⁸ But innovations-based industry has increased the value of companies based on intangible assets like patents, trademarks, copyrights and related intellectual creations. In recent years the law under which IP is used for secured lending has been the subject of renewed attention, particularly in the technology and creative industries where assets of intangible value are a significant component of the value of enterprises.⁹

This discussion will start by examining the constitutional status of IP in Kenya. Article 40¹⁰ guarantees the right to property of any description, including intellectual property due to the wide scope of the provisions of the Constitution. Moreover, culture has been constitutionally recognized as a basis of the nation and the State is required to promote the intellectual property of the people of Kenya in article 11. Read together, the two articles place IP above mere statutory entitlement, but as a constitutionally protected proprietary interest.

Under the Statutory provisions, each IP law provides for the registration, assignment and licensing of IP rights, which highlights the proprietary and transferable nature of IP rights. But

⁸ Roy Goode, *Legal Problems of Credit and Security* (6th edn, Sweet & Maxwell 2013).

⁹ World Intellectual Property Organization, *World Intellectual Property Report 2017: Intangible Capital in Global Value Chains* (WIPO 2017).

¹⁰ Constitution of Kenya, 2010.

primarily, they were for ownership and infringement transactions which did not involve secured credit.

The MPSRA was thus enacted with a view to addressing the shortcomings of the current secured transactions framework in Kenya which was constraining borrowers to securing movable and intangible property. The establishment of the Movable Property Security Rights Registry was aimed at improving the transparency, decreasing information asymmetry, and increasing lender confidence.¹¹

Despite these progressive legislation, in practice IP as a collateral is still only a small percentage. A fourth problem is that the existing IP laws were not envisaged to address secured transactions in IP and therefore, it is unclear how secured transactions will be realised upon default.¹² A fifth issue is fragmentation between the IP registry administered by Kenya Industrial Property Institute (KIPI) and the Copyright Board, and the MPSRA established collateral registry.¹³ A final issue is the uncertainty surrounding the priority rules in the event of concurrent claims arising between assignees and secured creditors.

Moreover, there are difficulties in valuing IP. In Kenya, IP assets are not traded in secondary markets, unlike land and vehicles, which means that the risks of their default are not predictable and lenders have shown risk aversion on lending against IP assets.²⁸ This risk aversion is echoed in comparative IP literature, which points to uncertainty of value as one of the most persistent obstacles to IP-backed lending across the world.¹⁴

The impetus of this study is therefore in the recognition business conflict. In principle, the IP rights in Kenya have the core elements of property rights, and the term movable asset financing is included in the definition of the rights concerned in MPSRA. In practice, however, doctrinal differences, multiple registries, valuation issues and the absence of precedent constrain the value that it may offer as collateral. This study extends and expands on Syengo's work, but also accounts for later developments in the law, comparative experiences, and reforms. The research is set in the Kenyan constitutional, statutory and economic context to determine if the existing legal system is indeed an enabler of unlocking the financial value of the innovators' intellectual property.

¹¹ Brenda Syengo, *Securitization of IP Assets: An Examination of the Legal Regime on the Use of Intellectual Property as Collateral in Kenya* (LLM dissertation, University of Nairobi 2021)13.

¹² World Bank Group, *Secured Transactions and Collateral Registries Toolkit* (World Bank 2019).

¹³ Orkun Akseli, *Availability of Credit and Secured Transactions in a Time of Crisis* (Cambridge University Press 2013)57.

¹⁴ JE Penner, *The Idea of Property in Law* (Oxford University Press 1997).

1.2 Statement of the Research Problem

Although intellectual property is property as per the Constitution of Kenya, there is very little use of it as a source of collateral in Kenya. Notwithstanding the adoption of the MPRSA, there are many unanswered questions concerning how the IP-specific registries will interact with the movable assets registry, in particular in terms of perfection, priority and enforcement of the security interest. Confidence of lenders in IP-backed financing is low due to lack of clarity on the doctrine, valuation and enforcement issues.

It is therefore important to ask whether the current legal/institutional regime in Kenya is sufficiently certain and coherent to enable it to function as a collateral or if some legal and structural gaps remain that limit its commercial use.

1.3 Research Questions and Objectives

1.3.1 Research Questions

Therefore, the research addresses the following main research question:

How does the current legal and institutional regime in Kenya support or impede the use of IP as security for lending practices?

The particular questions are:

What are the main academic considerations and theories surrounding the use of IP as collateral, both at international and national (Kenyan) level?

What is the current framework and laws in Kenya that regulate the use of intellectual property as collateral?

What are the legal, institutional and practical constraints to the effective use of intellectual property as collateral in Kenya?

What can Kenya learn from other jurisdictions that have been more successful in creating an effective method for securitising IP?

What changes in laws and institutions are required to improve the use of IP as collateral in Kenya?

1.3.2 Research Objectives

The main research objective is:

Examine the laws and practices of the use of IP as collaterals in Kenya and appraise the effectiveness of the same for secured lending.

The following are the aims of the research in particular:

Critically review literature, and identify the main theories, recent debates and gaps in the literature on IP securitisation.

To investigate the constitutional issues involved, the laws and institutional structure of security interests in intellectual property and its creation, registration, perfection and enforcement.

Discuss and examine the most important problems and inconsistencies in the area of IP Securitisation such as statutory inconsistencies and uncertainties, valuation, enforcement and lender risk perception.

To visit and study some comparative jurisdictions (best practice) for possible introduction in the reform of the Kenya legal framework.

To clearly articulate actionable, practical and court-proof suggestions to improve certainty, harmonization and institutional efficiency of the Kenyan IP securitization system, to make it better.

1.4 Hypothesis

1.4.1 Null hypothesis

- The existing legal and institutional framework in Kenya does not adequately govern or support the use of intellectual property as collateral.

1.4.2 Alternative hypothesis

Theoretical and scholarly arguments abound about the possibility of using IP as effective collateral in Kenya and the world.

Intellectual property is protected by legal, institutional and practical constraints which impede its optimal use as collateral in Kenya.

There are lessons Kenya can learn from other jurisdictions to enhance IP securitization.

Legal and institutional changes are needed to improve the utilization of IP as collateral in Kenya.

1.5 Significance of the Study

Laws in Kenya don't confer the right to use IP rights appropriately and it has been technically recognized that the use of IP rights can be based on property. Every Kenyan shall have the right to own a property of any description and to acquire a property of any description including patents, trademarks and copyrights. This is also supported by the provisions of the statute, which allow the proprietary rights to be assigned, transferred and licensed. But in spite of this solid normative underpinning, there is a considerable lack of use of IP in secured lending transactions. The study will contribute some insight on the extent to which the Kenyan law is truly a reflection of IP or whether it's meant for commercial deployments as a credit security.

The doctrinal aspects are also important due to the outcomes of the research, which are gained through this. It carries out a comprehensive analysis of the relationship between the Industrial Property Act, Trade Marks Act, Copyright Act and the Movable Property Security Rights Act 2017 (MPSRA). In terms of the MPSRA, one worry is that, although it is intended to modernise and clarify the secured transactions regime and make more broad the types of interests that can be created and pledged, in some areas this has caused some regulatory complexity, as there is IP sector-specific law. Once you register, security interests are perfected, there are priorities and conflicts, then enforcement becomes an issue. Such regimes in isolation can lead investors to not want to use IP as collateral. The thesis points out overlaps and ambiguities, as well as structural inconsistencies, in the doctrines, which help in clarifying the doctrines and pave the way for harmonisation and reform. Thus it creates more legal certainty, a crucial element to the efficient working of credit markets.

The study is not only doctrinal but it's also economically relevant and developmentally relevant. In Kenya Vision 2030 policy document, one of the policy goals highlighted is transitioning to a knowledge economy and Innovation-driven economy. In such an economy, there should be an economy of knowledge, with the intangible assets the more significant ones of enterprise value. Tangible assets of small and medium companies (SMEs) and technology

start-up businesses or creative industries could be moderate level and have a good intellectual property portfolio. If enterprises do not have the opportunity to secure loans using IP as security, this could be due to structural credit constraints. Not monetizing intangibles is not only slowing the growth of companies, but also innovation, job creation, and industrial competitiveness. The study might influence the national discussion on inclusive economic growth and empowerment of SMEs through an investigation into the legal reforms that could increase the efficiency of financing through IP.

So the researchers suggest that there is some inefficiency in the institutional level especially with regard to implementation of IP securitization in practice. There is procedural fragmentation with separate intellectual property registries, and the Movable Property Security Rights Registry. It may be necessary to go through multiple systems to determine the ownership, confirm encumbrances and establish priority. This disintegration results in increased transaction charges, delayed credit processing and may threaten to diminish trust of enforcement outcomes. Moreover, the mechanisms developed for the enforcement of material goods did not directly adapt to IP, as a result of its specific characteristics, such as being territorial, susceptible to infringement and depending on market exploitation. The challenges faced operationally are also dealt with, along with practical and institutional recommendations, all of which will contribute to the coordination of the registers, the clarity of the enforcement process and strengthen creditor protection.

Last but not least, the normativeness of this research. It brings about the connection between legal design and the economic transformation, showing that the problem of how to build a functional IP securitisation is not only a legal problem of secured transactions law, but also a component of development policies. Financialization of intangibles can expand financing capacity, encourage new innovations and boost competition of the region and the world. The study in this respect is not only doctrinal, but also situates the debate about IP reform in the long-term trajectory of Kenya's development.

The principles of the constitution research, statutory interpretation research, institutional practice research and economic policy research are important in the context of studies. It helps fill the research gap in the academia side and the practical aspect of reforms that promote growth based on sustainable and innovation, and contributes to closing the legal and structural gap on the use of IP as collateral.

1.6 Theoretical Framework

1.6.1 Property Rights Theory

Property rights theory views property as a collection of rights, including the right to exclude others, use, transfer, and derive income from an asset, and the most valuable features of a property system are its clarity, exclusivity and enforceability.¹⁵ The more clearly and exclusively defined a right is, and the more easily it can be enforced, the more efficiently an asset can be allocated and commercialized.¹⁶

In this theory, the allocation of rights is unambiguous and well defined, and would enable the owners of land to extract the greatest economic value out of their land.¹⁷

Theoretical construct of intellectual property is a part. Exclusive and transferable rights are afforded to creators through the statutes, such as the Industrial Property Act, the Trade Marks Act and the Copyright Act. These rights may be assigned, licensed or transmitted, suggesting these rights have proprietary features like tangible property. Article 40 of the Constitution also backs up this argument by guaranteeing the protection of property of “any description.”¹⁸

Other principles of property rights theory are also related to clarity, exclusivity and enforceability. In practice, weak enforcement can be due to uncertainty over the rules of priority, the presence of multiple registries, or the potential for weak enforcement or unpredictable enforcement. In the Kenyan context, the problem is lack of integration of IP registries with the collateral registry as per the Movable Property Security Rights Act 2017 (MPSRA) which defines intangible assets as collateral. Institutional gaps reduce the power of IP as bankable property from a property rights point of view.

Thus, the question of whether there are rights in Kenya's legal system, which are clear, enforceable and transferable, is an issue that this theory can help answer as it helps explain why or why not IP could be used as effective collateral.

Theory Testing

In the Kenyan context, there is partial compliance of the theory of property rights. Although IP is legally considered property in its own right, this can become a problem when IP is coupled with secured transactions law. Thus, formal attributes of property do exist, but the institutional framework may reduce the economic effectiveness of the property rights if they are used as

¹⁵ Harold Demsetz, ‘*Toward a Theory of Property Rights*’ (1967) 57 American Economic Review 347.

¹⁶ JE Penner, (n1)47.

¹⁷ Harold Demsetz, (n1) 34.

¹⁸ Ibid.

security. Property rights theory thus shows a problem of whether something ought to be recognised or there should be certainty in view of function.

1.6.2 Law and Economics Theory of Secured Credit

The law and economics approach is an analysis of the legal rules in economic efficiency terms and their impact on the behavior of the market. Some legal commentators, such as Richard Posner, have adopted this perspective, which looks at legal institutions as methods of lowering transaction costs and ensuring the most efficient allocation of resources.¹⁹

Secured credit can be thought of as one of the measures for reducing credit risk and information opacity, in a law and economics approach. It should also be recognized that the law does not directly affect the interest rate that the lender charges because that interest rate is dependent on the credit rating of the borrower.²⁰ Directly it should be noted that the law does not affect the interest rate that the lender will provide, which will depend on the credit rating of the borrower.²¹

Seeing the matter from this angle, it makes economic sense to have the inclusion of intangible assets in a secured lending regime.³⁷ Intangible assets are becoming more important in modern enterprises, and it is economically shortsighted to exclude such assets from secured lending regimes.²² The UNCITRAL Legislative Guide on Secured Transactions urges for a more comprehensive regime which extends to intangible assets in order to promote economic development.²³

This is the economic justification for enacting the MPSRA in Kenya. The Act expands the definition of permissible collaterals and introduces a centralized repository to decrease costs of transactions and increase transparency.²⁴ The reforms are consistent with the World Bank's recommended model of security for global transactions.²⁵

¹⁹ Richard A Posner, *Economic Analysis of Law* (9th edn, Wolters Kluwer 2014)22.

²⁰ Thomas H Jackson and Anthony T Kronman, 'Secured Financing and Priorities Among Creditors' (1979) 88 Yale Law Journal,143.

²¹ UNCITRAL, Legislative Guide on Secured Transactions (United Nations 2007).

²² Ibid.

²³ Ibid.

²⁴ World Bank Group, Secured Transactions and Collateral Registries Toolkit (World Bank 2019).

²⁵ Ibid.

From a theoretical perspective, the dissertation analyses the significance of the question on the impact of the structure of innovation financing on efficient credit allocation and whether the Kenya's structural framework is reducing the transaction costs or not.

Theory Testing

Despite the legislative changes, the rate of adoption of IP lending remains low, showing there still have not been enough economic improvements made with secured credit theory. Until lenders agree to accept IP as security on such terms, transaction costs will remain high: either due to uncertainty over the valuation of IP or ambiguity over enforcement or registry fragmentation. In such a scenario, the advantages of the economic efficiency in secured credit theory diminish. Collateral preference still remains, indicating that the legal structure may not be adequate to lower the perceived risk. While Kenya's statutory changes are rooted in the principles of law and economics, however, there are gaps in implementation that diminishes the effectiveness of the changes.

1.6.3 Functional Theory of Secured Transactions

The functional secured transactions theory shifts the focus from the form of transaction to the economic substance of transaction. One such theory, proposed by scholars like Grant Gilmore, is that all transactions which give rise to a security interest (however termed) should be governed by a uniform regime.²⁶

Modern secured transactions theory is functional, not formalistic and promotes uniformity, simplicity and predictability, as is the present-day secured transactions reforms in the Uniform Commercial Code.²⁷

The inclusion of such features in the MPSRA in theory ought to combine a range of assets, such as IP, into a unified, secured transactions framework.

The law of intellectual property has been traditionally implemented through special registers and regimes. The question would certainly be raised whether it would be sufficient to register a collateral assignment or license to be perfected in the collateral registry if the law of a specific IP field requires the registration of the assignment or license in such registry.

²⁶ Grant Gilmore, *Security Interests in Personal Property* (Little, Brown 1965).

²⁷ Uniform Commercial Code (US) art 9.

Theory Testing

A comparison of Kenyan law and the theory of secured transactions in the USA reveals that the law is not harmonised. While the MPSRA is intended to create a unified system, this would be possible only if we keep the current IP registries intact, and thus re-introduce formalism and fragmentation. The greater the complexity in the registration, the more cost will arise in the transaction and the less certain it will be.

This structural tension which acknowledges that there is no clear statutory coordination between IP law and the MPSRA and the latter may lead to uncertainty of interpretation. A functionalist view would see such fragmentation as a threat to the aim of a simplified and unified secured transactions regime.

1.6.4 Conclusion

Theories are considered to help the understanding of various aspects of the problem of research. The theory of property rights is coming out strong on the need for clarity and enforceability, the theory of law/economics is coming out strong on the need for efficiency and credit availability, and the theory of functional secured transactions is coming out strong on the need for harmonization and simplicity. The theoretical feasibility of these two sets of frameworks does not need to be questioned due to doctrinal and institutional uncertainty as it can be applied in practice in the country of Kenya. In Kenya doctrinal and institutional doubts do not trouble the theoretical possibilities of the IP securitisation system. The challenge isn't so much that there is no recognition as it is that there isn't a secured credit system that is integrated and coherent.

This analysis is informed by this theory and draws three normative benchmarks which are to be used as a measure of the legal regime in Kenya: clarity of rights, efficient credit facilitation and functional unity of the secured transactions regime.

1.7 Research Methodology

This research is a qualitative doctrinal study. The approach is guided by the nature of the research problem that emphasizes an analysis of the existing legal regime on the use of intellectual property as collateral in Kenya. This study is an attempt to examine statutes, legal principles, institutional structures and scholarly opinions, which makes a doctrinal approach the most appropriate of the methods.

The study will be based on a detailed legal analysis of primary and secondary sources of law. The main sources of information are the Constitution of Kenya 2010 and the relevant legislation. The use of subsidiary legislation, policy documents and case law are also used

where necessary. The sources are examined to illustrate how security interests in intellectual property are formed, perfected and enforced in Kenya.

Secondary sources are an integral part of research. This includes books, journal articles, theses, policy reports and commentaries on IP and secured transactions law. Academic analyses offer critical appraisals of theory underlying the IP as property and the economic rationale for collateralization, as well as the difficulties encountered by lenders and borrowers. Recognized legal databases and credible online repositories used for materials. Every effort was made to use authoritative and up-to-date sources.

In addition, the study is comparative. A review of selected jurisdictions, including U.S.A, is conducted to learn lessons from other jurisdictions about the regulation of IP securitisation. The USA, like Kenya, considers IP as a propriety asset that can be exploited commercially. It is significant in this analysis in particular because it is one of the most developed and influential legal systems on secured transactions relating to IP. It thus offers a good practical and theoretical framework for the understanding of the role of IP as a means to secure a promising practical role in a contemporary commercial system. The aim of the comparative analysis is to not copy the lessons learnt from the foreign experience but to find best practices that can help in the reform process in the Kenyan context. This helps to deepen the analysis by putting Kenya's legal framework in context with what exists globally.

The study uses critical and analytical approach in analyzing the data. The various laws and research questions are analysed and inconsistencies, gaps and practical disadvantages in the current legal framework identified. There is no empirical fieldwork or interviews done in the research as it is a legal research. If available, however, the relevant policy reports and institutional publications are used to provide the frame for the legal discussion.

The scope of the study focuses on patents, trademarks and copyrights which are the forms of intellectual property recognized by the Kenyan law. It does not apply to traditional knowledge or geographical indications (unless in relation to the general discussion). The analysis focuses on the Kenyan legal framework and comparative analysis is only provided for evaluation and reform oriented purposes.

Ethical Considerations

While there is no human subject research involved in this study, ethics are still very important in relation to the research process. Academic integrity is upheld by citing and acknowledging all sources appropriately in line with OSCOLA guidelines. All ideas, arguments and data from

other scholars are referenced completely and appropriately to avoid plagiarism and transparency.

Second, the research ensures accuracy and fairness in representing legal provisions, judicial decisions and scholarly opinions. Comparative materials is analysed objectively and free from mischaracterisation of foreign legal systems and/or overstating the applicability of foreign laws to the Kenyan context.

Third, institutional reports and policy documents are used in a responsible way and in its context. The study is not selective in citing or distorting results to justify an a priori conclusion.

Last but not least, the research is aware of the policy implications. The recommendations are offered in the best interests of Kenya and based on legal analysis, comparative data and arguments for enhancing access to credit and innovation in Kenya's legal system.

Through working according to the principles of integrity, objectivity and responsible scholarship, the study has been conducted ethically and its contribution to the study of the law of intellectual property and secured transactions is valuable.

The methodology overall holds together well and has a good depth. The research is based on authoritative legal sources, and structured comparative analysis, which gives a clear and reasoned evaluation of the legal and practical challenges associated with the use of IP as collateral in Kenya.

1.8 Limitation of the Study

This study has tried to take a broad overview of the use of IP as a collateral in Kenya but some restrictions have been identified. First, the study has a doctrinal flavour for the most part. Requires research of legislation, opinions, policy documents, and scholarly articles. It is therefore not based on empirical information that has been gathered through interviews with lenders, entrepreneurs, regulators and/or policymakers. The absence of field research may not capture fully the field based experience and work and the challenges experienced in the field by financial institutions or financial innovators. But the doctrinal approach is equally applicable to the problems of coherence and sufficiency of the legal system.

Secondly, there is not a lot of Kenyan jurisprudence specifically relating to securitization of intellectual property. There is a lack of case law in the Kenyan courts on IP-backed lending as compared to lending based on land or other physical assets. This limits the extent to which judicial interpretation can be applied in analyzing enforcement disputes. In some cases, to fill the gap of analysis, a comparison to other jurisdictions is also included in the research. Finally, but not least, the issue of value of IP is a very technical and monetary matter. The study

acknowledges that valuation may be a practical issue in IP-backed loans but does not undertake detailed financial or accounting analysis of the practices of valuation. The discussion is not about calculating uncertainty of valuation, but about the legal aspects of uncertainty of valuation.

The research is mainly on the patents, trademarks and copyrights as recognised under the Kenyan law. It deliberately restricts the scope, since this would make it more difficult to carry out the analysis, does not exclude other types of intangible assets which could also have an economic value.

Finally, the study does not seek to address the process of change in the legal and institutional environment, since this developed over the years. Some of the findings may be impacted by changes in the law, policies or judicial opinions that took place after the research was finished.

None the less, the study is important. The constraints identified are not a threat to the main research objective which is to assess the legal and practical hurdles that exist in the use of IP as collateral in Kenya and recommend reforms to enhance certainty, efficiency and access to finance.

1.9 Literature Review

1.9.0 Introduction

The issue of use of IP as collateral has gained increasing amount of scholarly interest on the international scene. In addition to doctrinal analysis of property theory, the law and economics perspective on secured credit as well as comparative analysis of modern secured transactions reforms. Academic involvement is fairly low in Kenya. Literatures review and identification of similarities, differences and gaps for the current study.

1.9.1 Conceptualizing Intellectual Property as Property

In this respect, IP can be seen as property, meaning the right to exclude others from a resource, because the right to exclude others is granted in this sense, to the intangible products. In the classic sense of the word, IP can be defined as the right to exclude others from a resource, in this sense, the right to exclude others is granted to the intangible products.²⁸ The same applies to Merrill and Smith who believe that property law operates through the use of standardized forms that are intended to facilitate transfers and reduce information costs.²⁹

²⁸ JE Penner, *The Idea of Property in Law* (OUP 1997).

²⁹ Thomas W Merrill and Henry E Smith, '*What Happened to Property in Law and Economics?*' (2001) 111 Yale LJ 357

Early theoretic arguments by Harold Demsetz suggest that property rights emerge to promote economic efficiency and to internalize externalities, thus justifying the monetization of property rights such as patents, trademarks and copyrights.³⁰

Some of the most significant constitutional discussions of the proprietary nature of IP have taken place in the area of copyright. In Kenya, the right to property is also secured in the Constitution under Article 40 which deals with intangible interests. But in practice, as commentators make clear, 'bankability' does not mean 'constitutional recognition' and it does require the existence of 'functional security mechanisms' that are as clear as the proprietary security mechanisms.³¹

IP has been recognized as personal property in the United States, and the Uniform Commercial Code (UCC) as a general intangible, which is believed to have helped foster lending based on IP.³² This therefore makes sense as African literature shows that statutory recognition of IP markets and markets themselves are underdeveloped due to non-enforcement and lack of commercial IP awareness.³³

Thus, conceptual literature sets that IP has the characteristics of property. However, it does not delve into the mechanics of those attributes in a developing secured transactions system such as that of Kenya.

1.9.2 Secured Transactions and Access to Credit and Valuation and Risk Assessment Challenges

Classical property theorists such as Penner have defined property as the right to exclude others from a resource, and so IP can be seen as a form of property as it gives exclusive rights over intangible creations. Like other legal systems, Merrill and Smith demonstrate that there are also standardized forms in property law that were used with property and which help to reduce the cost of information.³⁴

Demsetz's early theorizing clearly assumes that the establishment of patents, trademarks and copyrights as economic assets which can be commercialized is a process of internalizing externalities and maximizing economic efficiency.

³⁰ Harold Demsetz, (n1) 85.

³¹ Ben Sihanya, *Intellectual Property and Innovation Law in Kenya and Africa* (Innovative Lawyering 2016).

³² Steven L Harris and Charles W Mooney Jr, *Security Interests in Personal Property* (6th edn, Foundation Press 2016).

³³ Caroline B Ncube, 'Intellectual Property Policy, Law and Administration in Africa' (2015) 11 African Journal of Legal Studies 1.

³⁴ Thomas W Merrill and Henry E Smith, 'What Happened to Property in Law and Economics?' (2001) 111 Yale LJ 357.

The proprietary element of IP has also been a discussion within the community of lawyers as part of the constitutional discussion. The right to property in Kenya is guaranteed by the Constitution of Kenya Article 40 which includes intangible property. However, as commentators have pointed out, constitutional recognition is no guarantee of a bankable contract – it is guaranteed through clear and effective security arrangements.³⁵

Functional classification of IP as a general intangible, it is argued, has boosted lenders' faith.³⁶ IP-backed lending has been facilitated by the U.S. experience with high IP protection as personal property and the Uniform Commercial Code (UCC).

The literature provides a conceptual and empirical contrast between formal legal recognition, and commercial use of the IP markets, as these markets grow in a limited fashion, according to the African scholarship.³⁷

The properties to IP are found in conceptual literature. However, it fails to take into account how those attributes are applied in less developed countries' secured transactions systems, including Kenya.

The problems and challenges of secured transactions are raised and made the focus of the consideration with the challenges of access to credit in 1.9.2 Secured Transactions and Access to Credit.

The long-held view of law and economics scholars is that a secured credit results in reduced credit risks and increased economic efficiency. Priority rules have been a mainstay in the credit growth of secured transactions, say Jackson and Kronman, and certainty in perfection and priority is important for credit markets, Goode argues.

The UNCITRAL Legislative Guide emphasises the need for avoiding fragmentation and formalism of the registration systems and notes that it contributes to rising transaction costs and lack of lenders' trust in these systems.³⁸ While the World Bank has reported on the

³⁵ Ben Sihanya, *Intellectual Property and Innovation Law in Kenya and Africa* (Innovative Lawyering 2016).

³⁶ Steven L Harris and Charles W Mooney Jr, *Security Interests in Personal Property* (6th edn, Foundation Press 2016)147.

³⁷ Caroline B Ncube, 'Intellectual Property Policy, Law and Administration in Africa' (2015) 11 African Journal of Legal Studies 1.

³⁸ UNCITRAL, *Legislative Guide on Secured Transactions* (United Nations 2007).

contribution of modern collateral registries to enhancing financing for small and medium enterprises (SMEs), empirical and doctrinal research to evaluate the effectiveness of the MPSRA in relation to intellectual property is still limited.³⁹

While there is recognition in the literature of the economic benefits that can be derived from a secured transactions' reform, there is little analysis of to what degree the incorporation of IP into the secured transactions regime has achieved the goals sought.

The issue of the worth of intellectual property has also been discussed in various publications before. IP is non-material asset so there are no certain points to rely upon and could be very reliant on future earnings. The law/economics professors i.e Richard Posner, believe that uncertainty raises transaction costs and lowers the availability of credit.⁴⁰

In an emerging economy context, where IP markets are thin, and where there is little to no comparable transactions, there are three valuation approaches, each with its own drawbacks:⁴¹ cost-based, market-based, and income-based. Studies done by the World Intellectual Property Organization (WIPO) also highlight inadequate valuation infrastructure as one of the significant challenges to IP-backed financing in developing countries.⁴² These concerns are echoed in Kenyan literature, such as the fact that there are no set valuation rules and that there is no judicial precedent for implementation of IP security interests, making IP a high-risk collateral particularly for SMEs.

1.9.5 Kenyan Scholarship on IP Securitization

While there have been strides within the Kenyan discourse on the securitisation of IP assets, there is a huge schism on the extent to which the IP and the collateral registry are being integrated, a lack of harmonised rules on priority and limited jurisprudence, as highlighted by Syengo.⁴³ Moreover, Syengo's doctrinal approach to the legal inconsistencies is much more limited, and is not thoroughly contextualized in a broader constitutional, economic and comparative theoretical framework.

³⁹ Patricia Kameri-Mbote, 'The Movable Property Security Rights Act and Access to Credit in Kenya' (2018) 2 University of Nairobi Law Journal 45.

⁴⁰ Richard A Posner, *Economic Analysis of Law* (9th edn, Wolters Kluwer 2014).

⁴¹ Gordon V Smith and Russell L Parr, *Intellectual Property: Valuation, Exploitation, and Infringement Damages* (Wiley 2005).

⁴² Ben Sihanya, *Intellectual Property and Innovation Law in Kenya and Africa* (Innovative Lawyering 2016).

⁴³ Brenda Syengo, *Securitization of IP Assets: An Examination of the Legal Regime on the Use of Intellectual Property as Collateral in Kenya* (LLM dissertation, University of Nairobi 2021)15.

The Kenyan approach of protecting IP and designing an innovation policy is less specific in all other academic activities outside of Syengo. The discussion of IP law and law of secured transactions is rather cursory.

1.9.6 Intellectual Property as Collateral: Comparative Perspectives

To understand the subtleties of the IP-backed financing, it can be beneficial to do comparative scholarship. Article 9 of the Uniform Commercial Code (UCC) in the U.S. adopts a functional approach to enabling security interests over intangible property, including IP,⁴⁴ but even in more developed jurisdictions, there exist tensions between the IP registration system and the secured transactions law. Uncertainty about enforcement, enforcement difficulties and the lack of technical knowledge in many financial institutions on the value of IP assets in the financial markets have been a problem throughout the world, particularly in less developed secondary market in developing countries.⁴⁵

Certainty is an integral part of the secured lending process. The courts have helped clarify and resolve the conflict between federal IP law and secured transactions law in the United States, providing more clarity and predictability.⁴⁶

In contrast, emerging jurisdictions might not have a history of judicial decisions on the priority issues concerning IP security interests. The laws on IP assignments vis-à-vis security interests under the MPSRA are still relatively light, and lenders will be cautious in financing transactions in the IP area.⁴⁷ As a new interdisciplinary field, the connection between IP financing and innovation policy and the development of small companies is quickly gaining in importance. In the world, intangible assets percentage of enterprise value is increasing, as indicated by research from the Organization for Economic Co-operation and Development (OECD) which also reveals that companies' capital structures are improving as their intangible assets can be supported by legal systems.⁴⁸

Literature shows that with IP embedded in the general secured lending systems, they can help in bridging the gap of finance for SMEs and technology businesses in Kenya which are mostly intangible assets and difficult to finance in the absence of a collateral.⁴⁹

⁴⁴ Uniform Commercial Code (US) art 9.

⁴⁵ Orkun Akseli (ed), *Availability of Credit and Secured Transactions in a Time of Crisis* (Cambridge University Press 2013).

⁴⁶ *In re Cybernetic Services Inc* 252 F3d 1039 (9th Cir 2001).

⁴⁷ Patricia Kameri-Mbote, 'The Movable Property Security Rights Act and Access to Credit in Kenya' (2018) 2 University of Nairobi Law Journal 45.

⁴⁸ OECD, *Intellectual Assets and Innovation* (OECD Publishing 2015).

⁴⁹ Calestous Juma, *Innovation and Its Enemies* (Oxford University Press 2016).

But a comparative literature shows that this is not enough. The key to the successful implementation of an IP securitization is coordination between the institutions, valuation principles and certainty of the judiciary. Little research, however, goes straight to the Kenyan context from these comparative lessons.

1.9.7 Gaps in Existing Research

In developed jurisdictions, there is a considerable amount of literature on the securitisation of IP, but less literature has been found and analysed in Kenya, which is dominated by the Constitution, legislation and institutions. Currently, there is little research in Kenya on the intersection of secured transactions and IP law, and much of the existing research is in either of these areas alone. Furthermore, comparative assessments do not consider the impact of the combination of the fragmentation of the registry, uncertainty in valuation, and the shortcomings in enforcement on lender confidence in Kenya. The dissertation seeks to thus fill in the gap between the doctrinal and the comparative approaches to constitutional property protection and IP statutes and secured transactions law in one analytical context.

1.9.8 Conclusion

In the literature, there is no denying that there exists a class of property that is called intellectual property and that the secured transaction systems of the modern era should be able to accommodate intangible property. Moreover, the mechanisms that are necessary for harmonization, certainty and valuation are essential to the success of any IP securitisation.

The idea of academic engagement, however, is not well developed in Kenya. While doctrinal concerns have been raised in the current literature, particularly in Syengo's important work, there is a potential for more theoretical work and a re-commissioning of the Kenya's emerging secured transactions regime.

The overall goal of this dissertation is to address all these gaps by critically analysing every aspect of the IP rights-based financing regime in Kenya and then comparing it to the best practices, using Kenyan constitutional and statutory provisions.

1.10 Chapter Outline

1.10.1 Research Proposal

This introduces the study and provides background and context to IP securitization in Kenya. It provides an overview of the increasing significance of intangible assets in the economy, as well as the two sides of the use of IP in secured lending, given that IP is now also being

recognized as property in statute and in the constitution. Research problem, research questions, research objectives and research justification are clearly stated. It also provides information on the approach of analysis used which is predominantly the doctrinal/comparative analysis, and the theory/ framework that support the research. This chapter seeks to situate the study in the broader context of the Kenyan financial and innovation contexts and its orientation for the subsequent chapters.

1.10.2 Legal and Institutional Framework Governing The Use Of Intellectual Property as Collateral

This Chapter is the backbone of the dissertation since it is doctrinal. It seriously questions the legality and institutional measures used to consider IP as collateral in Kenya. Special focus will be put on the MPSRA, how the Collateral Registry works and the relationship between IP registries and the secured transactions regime. The chapter discusses the rules concerning attachment, perfection, priority and enforcement of security interests in intellectual property. It takes into account and reflects coherence of the system, whether it is coherent and functional and whether it enables for secured transactions in Kenya and whether there is a fragmentation which creates uncertainty. This chapter reviews the level of predictability that the framework affords to inspire lender confidence.

1.10.3 Challenges Affecting The Use Of Intellectual Property as Collateral In Kenya

This Chapter is a change of gear from a legal analysis to practical issues. It addresses issues of fragmentation in the registry, issues around valuations, lack of judicial precedent and limited market knowledge of banks and small and medium businesses (SMEs). This chapter explores how legal and economic factors affect a financial institution's desire to accept IP assets as collateral, as uncertainty and transaction costs could make it an unappealing choice. It also takes into consideration the overarching issues of innovation, entrepreneurship and access to credit in the knowledge-based Kenya Economy.

1.10.4 Comparative Analysis of IP Securitization in Selected Jurisdictions

Chapter four is comparative, and examines the regulation of the use of intellectual property as collateral in other jurisdictions. Discusses the U.S. treatment of the UCC Article 9. The chapter aims to highlight the problems of coordination of the registry, conflicts of priorities, valuation and enforcement by these jurisdictions. The goal is not to simply import best practices and institutional designs from elsewhere, but to find practices and designs that could be relevant to reform in Kenya.

1.10.5 Summary, Conclusions, and Recommendations

The dissertation ends with a synthesis of the results presented in the previous chapters in Chapter Six. It addresses the research questions and provides an answer to whether the framework in Kenya is practical or theoretical. The recommendations in the chapter cover harmonisation of IP laws with the MPSRA, interoperability/integration of registries, perfection rules and priority rules, development of valuation rules, and training of IP judges and financial sector. It ends by stressing the need for enhanced IP-financing for unlocking the economic value of intangible assets and furthering Kenya's agenda of innovation-based development.

Chapter 2: LEGAL AND INSTITUTIONAL FRAMEWORK GOVERNING THE USE OF INTELLECTUAL PROPERTY AS COLLATERAL

2.0 Introduction

The concept of IP as collateral is not just a national law, but also differs according to a complex international legal framework of international legal frameworks, regional developments and national legislation. The chapter gives a doctrinal analysis of the legal and institutional framework for IP securitization in a multi-level context with a focus on Kenya within this general framework. It takes for granted that IP is becoming more and more an economic asset of greater value, but only can be effectively utilized as collateral when the law of secured transactions is coherent, clear and integrated.

The chapter has been divided into three parts. It will begin with an overview of the general legal framework with an emphasis on specially international instruments on IP and secured transactions. It then provides a regional African context overview based on regional trends and constraints. Finally, it considers the Kenyan legal context, critically discussing the constitutional provisions, statutory regimes and institutional frameworks. The effectiveness and applicability of such frameworks is assessed through innovative scholarly and policy comments at the end of each chapter.

2.1 Kenyan Legal Framework

The Kenyan framework for the use of IP as collateral is institutionalized into the country's constitution, laws and institutions. While there is significant movement towards this framework, there is also a structural weakness which restricts the framework's scope in particular given the adoption of the MPSRA.

It is based on the recognition of IP as property in the Kenyan Constitution 2010. According to Article 11 of the Constitution, IP is considered to be the property and Article 40 guarantees the right to 'acquire and own property of any description' which covers the right to IP.⁵⁰

The importance of this constitutional recognition is highlighted in scholarly commentaries. Sihanya believes that becoming a constitutional status will recognize its economic and cultural value, but this doesn't necessarily mean that it would be commercially viable without effective and clear methods of transfer, encumbrance and enforcement of IP rights.

The Kenya statutory protection for IP is provided in the Industrial Property Act, the Trade Marks Act and the Copyright Act. All of these laws are related to registering, assigning and licensing IP rights. They endorse the proprietary idea of intellectual property, in that they

⁵⁰ Constitution of Kenya, 2010.

recognise its transferability and enforceability. They are not meant to be used, however, for secured transactions. They are not necessarily interested in financing and therefore lack of skills in, among others, grant and enforcement of security interests.

The enactment of the Movable Property Security Rights Act, one of the most significant measures taken to fill these voids, was a major milestone in this development. It offers a state-of-the-art secured transactions law that includes a central security property registry, perfection and enforcement mechanisms.⁵¹ The Act on intangible assets, which brings Kenya into line with good international practice, was introduced.

But, it is not yet known how MPSRA is related to IP laws. For instance, it is not clear whether it is sufficient to register an interest in the collateral registry only, or whether the interests would need to be registered in the IP-specific registries too.⁵² The lack of coordination is a big hurdle in the way of IP securitization in Kenya, says Syengo.⁵³

Institutional division is also expressed as the absence of judicial precedent. The Kenyan courts have not extensively addressed issues of security based on IP and there is thus a lot of unanswered questions. The uncertainty here places the onus on the lender as to whether the rights are to be respected or not and reduces the likelihood of the use of IP as a collateral.

These uncertainties adversely impact the credit market's efficiency and have a law and economics cost component. Posner concludes that in the Kenyan context, this is threatened by the uncertainty linked to lack of rules enabling IP securitization and inability to access credit for innovators and SMEs.⁵⁴

2.2 Regional (African) Legal Framework

The IP and secured transactions law in Africa has progressed and still has a number of structural barriers. The national laws and the regional organisations, such as the African Regional Intellectual Property Organisation (ARIPO) and the Organisation Africaine de la Propriété Intellectuelle (OAPI) are available to protect intellectual property. Their functions are mainly administrative and protective in nature, do not involve much activity related to secured transactions, but they have an important role in harmonising IP laws and in assisting to the creation of IP registration in member states.

⁵¹ Movable Property Security Rights Act 2017.

⁵² Richard A Posner, *Economic Analysis of Law* (9th edn, Wolters Kluwer 2014).Incomplete reference.

⁵³ African Regional Intellectual Property Organization (ARIPO) Organisation Africaine de la Propriété Intellectuelle (OAPI).

⁵⁴Ibid.

The regional secured transactions framework has developed more recently, mostly because of development measures to promote credit access. They are based on the UNCITRAL model and aim to expand the definition of property that can be used as collateral to include moveable and intangible property, and are now in the process of being adopted by many African countries, with the World Bank often providing support.⁵⁵

Despite these time horizons, IP is still limitedly used in secured transactions systems. But, there are many hurdles to be overcome to effectively use IP as collateral in Africa. The IP systems in Africa have been designed with a protection bias, and there are poor markets for IP assets, little assessment on the value or enforceability of IP assets and therefore low likelihood of financial institutions accepting it as collateral.

The African Union and other regional organisations have increasingly been raising awareness on the significance of innovation and knowledge-based economy in policy debates. It is in general accepted that intellectual property is one of the tools of economic development, in particular the technology sector, agriculture sector and creative industry. But there is a lack of effective way to monetize IP assets, which adversely affects this potential. Lack of integration of IP into financial systems in the African context is a missed opportunity for economic development, and is reflected in the studies by OECD.⁵⁶

2.3 Global Legal Framework on Intellectual Property as Collateral

Globally, the law on IP as collateral involves two overlapping regimes: international IP law and international secured transactions law. These regimes are autonomous, but they are bound together by their interactions, which are of key importance for understanding the legal viability of IP-backed financing.

The international intellectual property regime is not explicitly linked to the use of IP rights as collateral which is this is discussed in TRIPS.⁵⁷ But, its importance is that it acknowledges that IP rights are legally enforceable proprietary rights. TRIPS also implies its proprietary nature by mandating member states to offer effective legal remedies for infringement, and to ensure that IP rights can be transferred.⁵⁸ Secured transactions require the presence of identifiable (and transferable) property rights to be secured.

⁵⁵ World Bank Group, Secured Transactions and Collateral Registries Toolkit (2019).

⁵⁶ OECD, Intellectual Assets and Innovation (OECD Publishing 2015).

⁵⁷ Agreement on Trade-Related Aspects of Intellectual Property Rights (adopted 15 April 1994) 1869 UNTS 299.

⁵⁸ Ibid. .

The conventions administered by the World Intellectual Property Organization (WIPO) reinforce the recognition of IP as a kind of property, by providing for national treatment, protection from infringement and assignability of rights.⁵⁹ These conventions include the Paris Convention for the Protection of Industrial Property and the Berne Convention for the Protection of Literary and Artistic Works. For example, the Paris Convention explicitly states that patents and trademarks are commercial rights, and that they are assignable.⁶⁰ The Berne Convention recognises economic rights of authors, such as the right to give permission for reproduction and distribution of works.⁶¹

These instruments, although relevant, are mainly focused on the protection and enforcement of IP and less so its use in transactions. They are, therefore, of a normative nature and do not set up operational mechanisms for IP securitization. Widely commented upon in scholarly writing. This is a key limitation of the current international IP framework: the international system is mostly protectionist, with limited focus on the commercialization and monetization of IP assets.⁶² The evolution of a new direct law of IP Securitisation may be traced back to the international work towards modernisation of secured transactions law. From this perspective, the UNCITRAL Legislative Guide on Secured Transactions is an important step forward as it calls for a uniform and functional approach to secured transactions and expressly acknowledges the potential of intellectual property to be encumbered.⁶³

One of the key principles of the UNCITRAL framework is simplicity, transparency and predictability. The Guide's recognition of possible conflicts between intellectual property registries and general collateral registries is important, and is especially relevant for states like Kenya where both types of registries coexist.

The UNCITRAL Guide has been seen as the standard for secured transactions reform in the world. At the same time, these scholars recognize that the success of these regimes will be contingent upon their enactment in each domestic jurisdiction, since in today's economy

⁵⁹ Paris Convention for the Protection of Industrial Property (1883); Berne Convention for the Protection of Literary and Artistic Works (1886).

⁶⁰ Ibid .

⁶¹ Ibid.

⁶² Caroline B Ncube, *'Intellectual Property Policy, Law and Administration in Africa'* (2015) 11 African Journal of Legal Studies 1.

⁶³ UNCITRAL Legislative Guide on Secured Transactions: *Supplement on Security Rights in Intellectual Property* (2010). https://uncitral.un.org/en/texts/securityinterests/legislativeguides/secured_transactions/supplement Accessed on 16th April 2026.

increasingly more value is generated through intangible assets.⁶⁴ If IP is not fully incorporated into a legal reform, or it is partially incorporated, the advantages of IP as collateral might not be realized.

Finally, the experience of jurisdictions, like the United States of America, that have adopted functional secured transactions regimes serve to highlight the potential and limitations of global regimes. This concept makes IP a “general intangible” and security interests are perfected through central filing, which makes it easier to create and enforce security interests, giving lenders increased confidence.

However, in this sophisticated system, tensions still remain between the federal IP laws and secured transactions law. The international experience shows that, even in advanced legal systems, there are potential conflicts in this area of perfection and priority, which may be addressed through federal registration systems for intellectual property rights that do not fully reflect Article 9.105, making an important contribution to the field of IP securitization.

2.4 Conclusion

The purpose of this chapter is to give a few illustrations of the international, regional and domestic recognition and/or collateralisation of IP, but also illustrate how structural and institutional barriers to the effective implementation of recognition. International frameworks provide a normative environment, but have no detailed operational guidance. Progress is noted in some areas of regional development, though there is still some disjointed and underdeveloped development. Despite the recognition of the constitution and that there are statutory provisions in Kenya, the multiple legal systems cause uncertainty which has an impact on the effectiveness of the IP securitization.⁶⁵

Analysis has shown that it would not be used due to problems and not because it is not legally recognised. The lack of harmonisation of the two laws – IP and secured transactions – will limit significantly the potential to use IP as a collateral. The next chapter, then, takes a look at how this disjointed structure presents practical problems, and how they affect access to credit and innovation in Kenya.

⁶⁴ Ibid .

⁶⁵ Uniform Commercial Code (US) art 9.

CHAPTER THREE: CHALLENGES AFFECTING THE USE OF INTELLECTUAL PROPERTY AS COLLATERAL IN KENYA

3.0 Introduction

Kenya has taken a step in the right direction in the law since intellectual property (IP) is a property and can be used for security, but that is not exactly significant. IP is specifically covered by the Movable Property Security Rights Act 2017 (MPSRA) and is therefore defined as 'movable property' which can be used as security for credit. However, empirical evidence in Kenya suggests that the percentage of registered collateral that is being mobilized in practice is very low, with less than 1% of the registered collateral being mobilized.⁶⁶

This chapter looks at these critically – it examines the limitations in the law, the institutions and practices which help to explain this. It not only helps you understand the doctrinal aspects but also helps you understand how these challenges would manifest in the lives of the Kenyan entrepreneurs, financial institutions and practitioners. However, structural problems and the market continue to be obstacles for IP securitization, even though it is now a legal reality.

3.1 Fragmentation of Registries and Institutional Frameworks

One of the challenges in Kenya is the lack of coordination among the IP registries and the 'collateral registry' set up under the MPSRA. There are different laws and institutions in place to safeguard the IPR, such as the Kenya Industrial Property Institute (KIPI) and the Kenya Copyright Board (KECOBO) with the movable property registry where the Security interest is registered.

This plethora of registries brings legal and practical uncertainty.⁶⁷ Lenders have an increased legal risk when they do not have coordinated action and hierarchy between the various registries, as certainty in perfection is required for a lender to have an enforceable security interest against a third party.⁶⁸ This makes it tougher for lenders to do due diligence. If a financial institution can't make one search to see whether there is any interest that it doesn't know, then there is a risk that the financial institution will not be able to discover any interest. That meant many banks would rather have the traditional system of collateral (land) than the registry system, a less integrated and less predictable system.

⁶⁶ Cliffe Dekker Hofmeyr, 'From Innovation to Investment: Using IP Rights to Secure Funding in Kenya' (2026)<https://www.cliffedekkerhofmeyr.com/en/news/publications/2026/Kenya/Technology-Communications/technology-and-communications-alert-18-february-From-innovation-to-investment-Using-Intellectual-Property-IP-rights-to-secure-funding-in-Kenya> Accessed on 28th April 2026

⁶⁷ Roy Goode, *Legal Problems of Credit and Security* (6th edn, Sweet & Maxwell 2013)85.

⁶⁸ Ibid.

A lack of uniformity and effectiveness in the secured transactions regime, from a business perspective, results from fragmentation, as intended by the MPSRA. Rather, in many registries, complexity is added on and reliance on collaterals for IP are not encouraged.

3.2 Uncertainty in Perfection and Priority Rules

The registry fragmentation problem is related to uncertainty in perfection and priority rules. The secured party must have a security interest that is valid and must be secured by a security agreement; and the secured party's interest must be the first of any secured party's interest to arise. This means it is possible that two legal regimes will overlap; that of secured transactions as regulated by the MPSRA,⁶⁹ and that of proprietary rights as regulated by the IP statutes. For instance, when a patent is assigned prior to the security interest being registered in the KIPI registry, but the security interest is registered in the collateral registry, it is unclear which would take priority.

If the asset has a clear priority then the credit market can be efficient, because the lender can assess the risk of the asset correctly, either so that he decides not to accept it as collateral or that he requires a higher interest rate for it.⁷⁰

The situation is worse in Kenya as there is no judicial precedent to handle such conflicts. The courts as yet haven't resolved anything on the matter of conflict resolution in relation to MPSRA. The absence of jurisprudence has left lenders and borrowers in a legal limbo and is even more challenging in using IP as collateral. This is reflected in the lending policies. In Kenya, financial institutions often have further conditions linked to the granting of IP as collateral, such as contractual protections and/or additional guarantees.⁷¹ These can increase transaction costs, and often render financing with IP impossible for the borrower.

There are too many uncertainties, and SMEs cannot be excluded. This is a far larger systemic issue that confuses laws and affects market behaviour and availability of credit.

3.3 Valuation Challenges and Lack of Market Infrastructure

One of the issues that arises in the use of IP as a collateral in Kenya is the valuation of the IP. IP's value, like any asset, can't be easily foretold and calculated. It can be very dependent on future incomes, on the demand for the product and on its enforceability.

⁶⁹ Movable Property Security Rights Act 2017, s 38.

⁷⁰ Thomas H Jackson and Anthony T Kronman, 'Secured Financing and Priorities Among Creditors' (1979) 88 Yale Law Journal 1143.

⁷¹ Ibid.

When there is no expertise in valuating or no consistency in valuating then it undermines the lender's confidence. There are three methods of valuing IP: cost approach, market approach and income approach, which each have their limitations, especially in emerging economies where they can be scarce in data and markets.⁷²

There may also be a lack of financial institutions that are technically equipped to evaluate the commercial potential of patents, trademarks or copyrights⁷³ and only a few skilled individuals in Kenya. This is further complicated as there are limited numbers of similar transactions available to provide market benchmarks. Valuation uncertainty is one of the most important challenges to overcome IP-backed financing worldwide, according to the World Intellectual Property Organization (WIPO) and is a more serious threat in developing countries where institutional capacity and market infrastructure are still developing.⁷⁴ The empirical evidence presented below shows that financial institutions are not keen to take IP as security, as its value may change significantly with the market, making it an unstable security.⁷⁵

This is reflected in the experiences of Kenyans entrepreneurs. Many new technology and creative businesses are worth a great deal of value in their intellectual property, but weren't provided capital because the lender was unable to value the IP. In reality, banks can request a few bodily securities, and hence do not require to enter IP.

Furthermore, there is weak secondary market for IP in Kenya. This creates barriers for the recovery of value in case of default, as there are fewer parties interested in purchasing IP-backed loans.⁷⁶ This is not only technical, but systemic and impacts the availability of IP-backed financing and the demand for it.

3.4 Enforcement Constraints and Realization Difficulties

Collateral should be of acceptable value to the lender that is able to enforce the security. In Kenya, the enforcement of intellectual property collateral is so complex because the property is intangible. The MPSRA provides instruments which allow security interests to be realised; however, these are not specifically geared towards IP. However, this uncertainty is a real issue for the lenders in the commercialization of IP after enforcement. However, in practice, the

⁷² Gordon V Smith and Russell L Parr, *Intellectual Property: Valuation, Exploitation, and Infringement Damages* (Wiley 2005)67.

⁷³ Jerameel Odhiambo, 'Leveraging Intellectual Property as Collateral in Kenya' (Mount Kenya Times, 2025)

⁷⁴ World Intellectual Property Organization, *World Intellectual Property Report 2017: Intangible Capital in Global Value Chains* (WIPO 2017).

⁷⁵ Agatha Gichana, 'IP-Backed Finance: From Hidden Value to Bankable Asset' (Vellum Kenya, 2025) 19.

⁷⁶ Ibid.

absence of remedies and enforcement powers specific to IP has been shown to make it more difficult for creditors and make IP securitization more likely.⁷⁷

This is reflected in the practice of lenders. Technical expertise in financial institutions may be lacking in respect of commercialisation of IP. An example would be a bank that obtains a patent or copyright and is not able to effectively license or market the asset. This will make it difficult to recover, and will make it appear to be dangerous. Also, it is difficult to enforce due to limited market for IP assets. The challenges encountered in the realisation of IP also shape the perception that it is not a liquid source of collateral, which is another reason why people are reluctant to use IP in secured lending.

3.5 Limited Awareness and Institutional Capacity

Also, there is a lack of awareness and capability of stakeholders. In Kenya, the number of financial institutions with in-house system for the assessment of IP collaterals is high. Generally, credit officers are trained to value tangible assets while may not be so trained with intangible assets. Secured transactions reform is not only a matter of legal design, but also of market awareness and institutional capacity, as Rebecca Wanyama points out.⁷⁸

Similarly, there are not many entrepreneurs and SMEs that know the potential of IP as a financial asset. IP is not usually considered to be a source of money, but rather a defense against infringement. This perception puts a ceiling on the demand for IP-backed financing and could be a reason why it has not been embraced.

Meanwhile, numerous business owners don't realize that their intellectual property may serve as collateral. For Innovators, it appears that protecting IP is more of a priority than using it to raise funds as there is a lack of awareness of IP management, IP valuation and IP commercialization in Kenya. Lenders are reluctant as they are not used to lending with IP.

There is also a role for institutional capacity constraints. Lack of coordination between the regulatory bodies and absence of a digital system. No coordination with IP institutions and collateral registry.⁷⁹ This institutional characteristic, and other factors, generate inefficiencies and lack of trust in the system.

⁷⁷ Brenda V Syengo, *Securitization of IP Assets: An Examination of the Legal Regime on the Use of Intellectual Property as Collateral in Kenya* (LLM dissertation, University of Nairobi 2021).

⁷⁸ Ibid.

⁷⁹ 'Commercialization of Intellectual Property in Kenya: *Legal Pathways and Solutions*' (Mount Kenya Times, 2025)

3.6 Risk Aversion in the Financial Sector

Another issue which is closely linked to the issues above is the risk perception in the financial sector. Lenders are risk averse and practice good risk management, with the aim of reducing risk. This is the conservative attitude towards collateral in Kenya, where land is the most common form of collateral. The land has the following advantages such as the stability of the land price, well-developed legal frameworks and markets. IP, on the other hand, is considered to be highly risky, difficult to value and difficult to enforce.

For IP securitisation, this will make lenders reluctant about lending on IP or imposing harsh conditions for loans.

This is compounded by other identified concerns raised in this chapter including uncertainty over valuation, enforcement, and lack of judicial precedent. This forms a vicious circle whereby low IP use is seen as collateral, resulting in increased scepticism among the lenders and a further decrease in the use of IP. In this study, solving legal and institutional issues is also important to enhance market perceptions and a successful method for encouraging the use of IP as a collateral.

3.7 Impact on SMEs and Innovation in Kenya

The problems highlighted in this chapter are of great importance to SMEs and the innovation-driven businesses in Kenya. These entities could be intangible with respect to any tangible asset but have a valuable intellectual asset. There is a structural mismatch between the innovation economy in Kenya and financial system, given that lack of traditional collateral is one of the main challenges that SMEs face in accessing credit, even though they have valuable intangible assets.⁸⁰

However, in reality, technology start-ups, software coders, and creative individuals are not able to use their IP to secure financing. It constrains their growth potential and results in low investments in innovations. What this all translates to is that the IP is not being used as an economic resource tool to promote growth and development.

⁸⁰ Brenda V Syengo, (n1)25

3.8 Conclusion

It shows that in a Kenyan context, IP cannot be used as a collateral because of the intricacies of the legal, institutional and practical concerns. All of these issues – fragmentation of the registry, uncertainty on perfection/priority, challenges to valuation, challenges to enforcement, and awareness/aversion – have a negative effect on the effectiveness of the legal framework. They do not only exist as theoretical issues, but also have a tangible impact on entrepreneurs, SMEs and financial institutions as revealed in the analysis based on lived experiences. The evidence suggests that even Kenya has set the pace for IP securitisation, but there are still a number of issues to be dealt with structurally if IP securitisation is to become a reality.

The challenges need to be tackled comprehensively, including by legal reform, institutional coordination and capacity development, and market development. Only when intellectual property is used to its full extent as a sureties in the Kenyan secured lending system, will it fulfil its true potential.

CHAPTER FOUR

A COMPARATIVE STUDY BETWEEN THE UNITED STATES OF AMERICA(USA) AND KENYA

4.0 Justification for the Country of Choice

The USA, like Kenya, considers IP as a property, and one that can be commercially used. Particularly important for this analysis since it is one of the most advanced and influential IP secured transactions legal systems. For this reason it provides a good practical and theoretical illustration of the possibilities of IP as a valuable instrument for collateralizing the modern commercial economy.

The USA is an appropriate jurisdiction in which to conduct this analysis because of the voluminous judicial precedent, robust valuation systems, sophisticated financial markets and hands-on commercial experience in financing with IP, especially in the technology, entertainment and innovation sectors. As a result, a review of the American experience provides some clues about the mechanisms for achieving legal certainty and institutional coordination that can facilitate the effective use of IP as Collateral.

4.1 Legal Framework in the USA

Article 9⁸¹ establishes a statutory framework for secured transactions, which involve the granting of credit secured by personal property, including IP; it is adopted and applies in all the 50 member states of the federation with each state making its own model variations in its own individual jurisdiction.⁸² Unlike the US Lanham Act and US Patent Act, the US Copyright Act provides for perfecting security interests, but only when and to the extent that it must.

Unlike other types of property, there is no federal acts provision for “perfecting” security interests against general creditors for patents and trademarks. Thus, in order to perfect a security interest, one must use Article 9, and arrange short form security agreements with USPTO to protect against buyers in the future.⁸³ The UCC is completely superseded by the Copyright Act for Registered Copyrights. To be perfected, a security interest in a registered copyright requires recording in the US Copyright Office. But unregistered copyrights are protected by the UCC.⁸⁴

4.2 Perfection of a security interest in IP

Article 9 is a working system of secured transactions. Under Article 9, there are three requirements that must be satisfied for there to be a security interest in IP.⁸⁵

Value must be given by the creditor; In form of a loan, credit facilities, financial accommodation. It makes a monetary commitment a condition of securities.

A security interest will attach if the debtor has legal rights in the IP asset, but the debtor must have legal rights at the time of the security interest. Lenders are thus required to do due diligence prior to taking the IP as security. There should be a security agreement that is signed and/or electronically authenticated by the debtor that grants the creditor a security interest in the IP.

These requirements have been put in place to give secured lending transactions certainty, fairness and predictability. The law seeks to make it abundantly clear to both parties what they are risking, what they are protecting and what will occur if they can't be repaid. So, IP becomes

⁸¹ Uniform Commercial Code(US)

⁸² Ibid.

⁸³ Linda Davinson, *THOUGHT LEADERSHIP, Perfecting Security Interests in US Intellectual Property Assets*, <<https://www.gerardfoxlaw.com/news/thought-leadership/perfecting-security-interests-in-us-intellectual-property-assets>> accessed on 23 May, 2026.

⁸⁴ Linda Davinson, (n1)6

⁸⁵ Richard M. Assmus, Barbara M. Goodstein, and Sen “Alex” Wang, *Value and Risk Considerations for Intellectual Property Collateral*, <<https://www.sbecp.org/assets/Councils/HermosaBeach-CA/library/Value%20and%20Risk%20Considerations%20for%20Intellectual%20Property%20Collateral.pdf>> accessed on 23 May, 2026.

a passively-held intangible asset, but also a commercially active security, accessible for finance.⁸⁶ The Lanham Act is the governing law for trademarks for registration and protection. Commercially important trademarks can be used as collateral for businesses with a strong brand, to help secure financing.⁸⁷ Their assignments and related security interests also can be recorded with the USPTO, which leads to more transparency and certainty in commercial transactions. There is a federal statute that governs patents. The USPTO has jurisdiction over all cases under the Patent Act. Ownership and assignments are discussed in Section 261.⁸⁸ It states that a recordation filed with USPTO will be presumed to be executed in accordance with an assignment, grant or conveyance of a patent or application for patent. It also provides that any assignment, grant or conveyance shall not be valid and effectual against such subsequent purchaser or mortgagee without notice if not recorded with the USPTO before the date of said subsequent purchase or mortgage or within three months after the same.

The Copyright Act regulates the rights of copyright. The Copyright Act contains a federal perfection scheme at Section 205 on transfer of copyright ownership as well as a definition of transfer of a copyright i.e conveyance, alienation or hypothecation of a copyright under Section 101. The Copyright Act does not contain a perfection scheme like the Patent Act or Lanham Act, but rather a definition of transfer of a copyright under Section 101 i.e conveyance, alienation or hypothecation of a copyright. The Copyright Act's wording, therefore, preempts the UCC. In particular, courts have been reluctant to recognize federally registered copyrights as UCC registered copyrights. To properly perfect a security interest in a registered copyright, a filing should be done with the Copyright Office.⁸⁹

4.3 Registration of Security Interests

Article 9 provides the perfection by filing a financial statement (UCC-1) with the registry of a particular state. The filing will also be done in the jurisdiction where the debtor is “located” and in most cases, the jurisdiction of organization or formation for an entity debtor in the U. A notice-based filing system that is centralized significantly enhances transparency and lending confidence.

Patents/ trademarks can be secured by a security interest under USPTO to shield against subsequent purchasers. Under both the Patent Act and the Lanham Act, there is no provision

⁸⁶ William J. Kramer and Chirag B. Patel, Marshall, Gerstein & Borun, Chicago, IL, *Securitization of IP assets in the US market*, <https://ipo.org/wp-content/uploads/2013/04/Securitisaton_of_IP_in_the_US.pdf> accessed on 23 May, 2026.

⁸⁷ Ibid. .

⁸⁸ The Patent Act(US)1952.

⁸⁹ Banking Law Journal, Jan 2008.

for recordation of security interests, although under both acts recordation of assignments is provided. In practice, the USPTO will be following a book value approach, and will be marking “other” documents such as security agreements as well as “collateral assignments”.

4.4 Institutional Framework for IPRs in the USA

The US institutional framework for Intellectual Property Rights (IPRs) is a robust, tripartite system overseen by the United States Patent and Trademark Office (USPTO), the US Copyright Office and the federal court system.⁹⁰ The USPTO operating under the Department of Commerce, examines and issues patents and registers trademarks. It has a number of special panels, including a Patent Trial and Appeal Board (PTAB), that evaluates challenges to patent validity. The US Copyright Office, which is part of the Library of Congress, registers copyrights, oversees the national copyright system and informs Congress about copyright issues in the United States and internationally.

The Office of the US Trade Representative (USTR) is the center for developing and coordinating US international trade policy. The USTR keeps track of foreign compliance with international IP agreements such as TRIPS and publishes annual 'special 301' reviews on countries that are found to have weak IPR protection. The Intellectual Property Enforcement Coordinator (IPEC) is a Senate-confirmed position within the Executive Office of the President, IPEC coordinates the activities of federal agencies (Department of Justice, Homeland Security, among others) aimed at combating IP theft and counterfeiting around the world. US Customs and Border Protection (CBP) enforce the border and CBP detains and seizes violating goods that infringe upon registered trademarks and copyrights.⁹¹

4.5 Comparative Analysis

Legal and institutional uncertainty are the greatest issues in Kenya regarding the use of IP as collateral and Securitisation of IPRs, such as: absence of a coherent IP registration system, valuation issues, lack of adequate protection of IPRs, and lender lack of confidence and their recognition as assets in the capital markets. Though creative industries that are dependent on IPRs contribute significantly to the GDP and employment rate among Kenyan businesses, they do not actively utilise their IPRs as assets.⁹² This can be attributed to the fact that unlike the

⁹⁰ United states Patents and Trademark Office, <<https://www.uspto.gov/guidance>> accessed on 24 May, 2026.

⁹¹ US Customs and Border Protection, 'Intellectual Property Rights' accessed 24 May, 2026.

⁹² JK Mbaluka, 'A critical Analysis of the Regulation of Personal Property Securities in Kenya' LLM Thesis, University of Nairobi(2012)

USA's laws, Kenyan IP laws do not expressly provide for IPRs as assets that can be used as securities or even the procedure that may be followed in the event an IPR is securitized.

Unlike the USA's IP securitization laws which are responsive to today's IP securitization needs, the law that seeks to regulate the substance of asset securitization and use as collateral in Kenya is like in many Commonwealth countries enacted based on 19th Century law and is thus outdated.⁹³ This undermines how holders of IPRs can benefit from this property as an alternative source of funding and how society can benefit through the opportunities it offers for income distribution as well as economic growth spurred by exploitation of these IPRs. This has a negative impact on the realization of the balance between the conflicting rights and responsibilities of owners of IPRs and the society at large and creating an environment where creativity and productivity can serve the social interest goals without compromising the individual interest of owners of IPRs. While the CMA has Regulations on 'Asset Based Securitisation' in Kenya, there is a lack of explicit reference to IPRs as the eligible asset, even as the majority of the assets of companies grows to be comprised of IPRs.⁹⁴

One of the challenges is the fragmented nature of the Kenyan securities laws. Lack of a single and harmonized registry system compromises efficient securitization as the legal framework governing different types of securities and security interests, and the legal nature of the security grantor, can differ depending on the nature of the securities' collateral. The fragmentation has introduced uncertainty and made enforcement more difficult as there is not much clarity as to the priority rights in the different interests that may exist.

4.6 Conclusion

Although, Kenya has undergone a series of changes to the existing laws regarding Movable Property Security Rights Act, 2017, there are still issues that the country is grappling with. Thus, important lessons have been learnt in USA, which will be useful for strengthening the IP backed financing. Hence, this study shows the need for more legal harmonization, institutional capacity development and robust commercialization structures that can facilitate innovation and access to credit for IP to fully function as collateral.

⁹³ JM Gabala, *'Intellectual property Alchemy: Securitization of Intellectual Property as an innovative form of alternative financing'* (2004) 307 *J Marshall Review Intellectual Property Law* 3.

⁹⁴ ADM Oulton, *'Loans in Kenya on Security of Chattels'* *Journal of African Law* (1960) 79; School of Oriental and African Studies.

CHAPTER FIVE

SUMMARY OF FINDINGS, RECOMMENDATIONS AND CONCLUSION.

5.1 Introduction

The Kenyan legal and regulatory system was assumed to be poorly conceived to provide IPRs as collateral in the Kenyan market, as IPRs have become more and more important in the modern economies. Learned about the legal and Institutional landscape in Kenya for the use of IPRs. Through an analysis of International, Regional and National legal frameworks, as well as a comparative analysis drawn from the USA which has been lauded as being one of the leading frontiers for the use of IPRs for furthering development agendas through collateralization, the study assessed the extent to which IP can effectively function as collateral within secured lending transactions. This Chapter thus presents a summary of the findings, recommendations from the study and overall Conclusions.

5.2 Summary of Findings

The result of the study was that IP is an economic asset and that it is more and more valued in the world and can create wealth and investment and credit. IP is a commodity and IP-based commercialisation and portability are recognised under international treaties, like TRIPS Agreement and WIPO conventions. In the same way, the UNCITRAL Legislative Guide on Secured Transactions calls for the adoption of intangible assets as a part of the contemporary concept of secured transactions, and highlights the need for certainty, transparency and efficient registration systems. The Kenya Statutes including the Kenya Industrial Property Act, the Trade Marks Act, the Kenya Copyright Act and the Kenya Movable Property Security Rights Act offer a mechanism to commercialise the IP as well as credit security, in this regard the Kenya Industrial Property Act and the Kenya Movable Property Security Rights Act allow commercialisation.

In this progressive legal context, the study found that the use of IP as collateral in the country is still very low. It is based on the breakdown of systems of registers. The security interests are registered separately in the Collateral registry set up by the MPSRA and the IPRs are administered in KIPi and KECOBO. This will only make it more difficult to register, perfect and to claim priority over security interests and will cost both the lender and borrower.

The uncertainty about perfecting and priority rules continues to be an issue for lenders. The MPSRA adopts the principle of notice of registration – but not much guidance is given as to how the notice of registration on the collateral registry will relate to other proprietary interests, like the IP laws' assignment and licensing regimes. There will also be no judicial precedent,

which will add to the levels of uncertainty, and will be an even greater restriction for financial institutions to rely on as security.

Another important result is the worth of the IP. The research validated the nature of the intellectual property asset is complex and is difficult to value based on its future income streams, market demand and commercial viability. There are no standard methodologies used to value the IP assets in Kenya and there is limited experience in valuing IP assets and secondary markets. Even in this case the lenders will be happy with retaining the traditional security types like land, motor vehicle etc., as the quality of the collateral, particularly the intellectual property is high. When default has actually happened, financial institutions may not possess the technological experience to be able to commercialize or dispose of the IP in a way that makes it easier to be more attractive as a security. They also lack the knowledge of the IP assessment and a lot of innovators and entrepreneurs are unaware of the fact that IP can be used as collateral.

Also, showed how legal recognition is not enough to be a successful IP securitisation compared to the U.S. The US has a more refined structure, and has rules governing security interests in IP in Article 9 of the Uniform Commercial Code (UCC) which provide clear rules of attachment, perfection, priority and enforcement of security interests in IP. Well developed valuation mechanisms and a strong judicial precedent and financial markets have greatly increased the lender's confidence and allowed for the practical utilization of IP as a collateral. It was therefore agreed that the lack of legal recognition is not a major concern in Kenya – rather, lack of institutional cooperation, legal certainty and market infrastructure to support IP financing is the real concern.

5.3 Recommendations

Based on the outcome of this research, a number of recommendations are made:

First, the harmonisation of the legal framework relating to intellectual property and secured transactions is needed.

A coordination of the activities of the IP registries and collateral registry should also be explored in Kenya. An integrated or interoperable registration system would further facilitate transparency, the due diligence process and reduce transactions costs from having multiple registrations.

There is a need to develop standardized IP valuation frameworks. Accounting to the reality of the market and based on international best practices, the co-construction of relevant institutions (KIPI, professional valuation institutions and financial regulators) of the valuation guidelines is recommended. There needs to be more technical information to increase trust in the use of IP as collateral.

The Government should make efforts to create awareness on the economic value of IP. Public education programs for innovators and entrepreneurs and small and medium enterprises (SMEs). The commercialization ecosystem of IP needs to be enhanced. This involves establishing IP licensing markets, technology transfer programs, innovation hubs, investment platforms for enhancing the marketability and liquidity of IP assets.

Last but not least, the Kenyan courts must be more active in addressing the lack of clarity in the law, and create jurisprudence on intellectual property securitization. The lack of clarity from the courts on issues such as priority claims, enforcement and realization of IP-based collateral will be a big asset for the development of IP-backed financing.

5.4 Conclusion

This study has shown that IP has a tremendous potential to become a collateral to provide access to credit, especially for those innovators, start-ups and SMEs who don't have traditional collaterals. The IP regime in Kenya is relatively progressive and acknowledges IP as property which can be protected. Many legal, institutional and practical constraints remain that hamper its use as collateral in practice. There's a need for more change, though, between recognition and implementation.

Finally, it is not only about the law to better enable use of IP as collateral. A chance to add value to innovations, better capital and financing opportunity, promote entrepreneurship, contribute to the transition of Kenya's economy towards being knowledge-based. The results of this study show that by tackling the challenges identified, the financial system in Kenya could be made inclusive, such that IP is not just seen as a legal right but an important, valuable and bankable economic asset.

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